CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE V

On June 23, 2026, the City Council of the City of Vacaville unanimously voted to place Measure V on the November 3, 2026 statewide general election ballot.

Background

The City's General Fund has a projected deficit of approximately $12 million for the current fiscal year and has already reduced General Fund expenditures by approximately $9 million through cost-saving measures, as reflected in the City's adopted budget. The deficit is projected to continue beyond fiscal year 2026/2027.

Tax Measure

If approved by a majority of the voters voting on the measure, this measure would add Chapter 3.15 to the Vacaville Municipal Code, authorizing the City to impose a new transactions and use tax, commonly referred to as a "sales tax", of one percent (1%) on the sale and use of tangible personal property within the City.

The City's current combined sales tax rate is 8.125% of which the City retains 1.75% of the revenue generated, with the remaining 6.375% going to the State, Solano County, and the Solano County Library. If approved Measure V would increase the combined rate to 9.125%, increasing the City's share to 2.75%. Revenue from this new tax would be collected and retained entirely by the City and would not be subject to reallocation by the county, state, or federal government.

This tax would be administered and collected on the City's behalf by the California Department of Tax and Fee Administration. With some exceptions, the tax would apply to tangible products purchased by residents and visitors to the City, such as clothing and household items. It would not apply to certain sales, including most food products and prescription medicine.

This tax would be separate from, and in addition to, the City's existing three-quarter percent (.75%) sales tax, "Measure M"; approval would not modify, reduce, or repeal that tax. The tax generally follows the same rules, exemptions, and procedures as the existing state sales and use tax, with certain exceptions specified in the ordinance.

If approved, the one-cent sales tax would take effect April 1, 2027. The tax would not expire on a fixed date and would remain in effect until repealed by a future vote of the City's qualified voters.

Use of Proceeds

This is a local general tax. If approved, revenue would be deposited into the City's General Fund and could be spent on any lawful municipal purpose at the City Council's discretion, without legal restriction to any specific purpose or program. The ordinance would establish a Citizens Oversight Committee to review and annually report to the Council on receipt and expenditure of the revenue and would require periodic independent audits.

A "yes" vote approves the additional one percent sales tax described above. A "no" vote rejects it. This measure requires a simple majority of "yes" votes for the measure to pass and become effective.

[redacted]

Andria Borba, City Attorney

The above statement is an impartial analysis of Measure V. If you desire a copy of the ordinance or measure, please call the City of Vacaville City Clerk's Office at 707-449-5110 and a copy will be mailed to you at no cost.